There have been exceptional managers with tremendous business acumen in the public sector who could turn around loss-making enterprises and compete with the best in the private sector. But they have been few and far between. Most civil servants do not make excellent business managers. Their talents are best utilized in delivering public goods.

The technology and traits of government functioning get imbibed and internalized in the public sector. The Courts have held public-sector enterprises as an instrumentality of the state under Article 12 of the Constitution. The procedural rigidities of government recruitment, procurement and disposal have got built into public-sector processes, subjecting it to a huge handicap compared to private-sector competitors.

The public sector gets stuck with old technology as most entities have been built with import of some technology at some point, whether it was for steel plants, power plants or heavy engineering. As new technologies evolve and other competing companies surge ahead, the public sector falls behind. The public sector has not been able to finalize even technology procurement tenders in time; 4G technology for BSNL and MTNL is a case in point. Several other considerations also enter the equation, such as domestic procurement, public-sector reservation or preference and small-sector reservation or preference. The reservations for certain castes and classes led to crucial positions remaining unfilled or filled with poorer quality managers. Disputes among staff in the public sector relating to seniority, promotion and grant of scale are enormous, leading to human resource management becoming a major casualty.

The government and the public sector are not entrepreneurs and businessmen. Commercial entities established by the government, either as departmental undertakings or public-sector enterprises, do not serve the national interest of making India a globally competitive economy.